IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.14/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF ARRANGEMENT
IN THE MATTER OF
QUADGEN NETWORKS PRIVATE LIMITED
AND
QUADGEN WIRELESS ENGINEERING SERVICES PRIVATE LIMITED
WITH
QUADGEN WIRELESS SOLUTIONS PRIVATE LIMITED

Order delivered on: 24th April, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Uday Shankar & Associates
Advocates
Fortune Chambers, 1st Floor, No.8,
Lalbagh road, Richmond Circle,
Bangalore-560027

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 9.4.2018

Quadgen Wireless Engineering Services Private Limited
#102, 2nd Floor, Eastland Citadel,
Old Check Post, Madivala,
Adugodi, Hosur Main Road,
Bangalore-560095

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation)Rules,2016, praying to order to dispense with convening of meeting of Shareholders and Creditors of Applicant Company for considering the Scheme of Arrangement, where under Quadgen Networks Private limited (Transferor Company No.1) and Quadgen Wireless Solutions Private Limited (Applicant Company/Transferor Company No.2) to be merged with Quadgen Wireless Solutions Private Limited (Transferee Company). The Scheme of Arrangement shown as **Annexure-A.**

The averments made in the Company Application are briefly described hereunder:-

The Applicant seeks an order to dispense with the convening of meeting of Shareholders and Creditors of the Applicant Company for approving the Scheme of Arrangement of Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Applicant Company/Transferor Company No.2) with Quadgen Wireless Solutions Private Limited (Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A.**

Application is filed by the applicant company stating that Applicant Company was incorporated on 16th November, 2015 as per the provisions of the Companies Act, 1956 in the name and style of QuadGen Wireless Engineering Services Private Limited with Registrar of Companies, Karnataka having CIN no.U72300KA2015KA2015PTC084105.The Registered office of the Applicant Company is situated at #102, 2nd Floor, Eastland Citadel, Old Check Post, Madiwala, Adugodi, Hosur Main Road, Bangalore-560095.

The main objects of the Applicant Company is to carry on the business of providing wireless engineering services, in India and abroad, with major Operator's network with an approach of Network Services Delivery such as Wireless Network design Services, wireless Network Optimization Services, Wireless Network Audit services, Wireless Network Performance Improvement Services, Wireless Network Consulting Services and offer network services for Media Flo and DVB-H based technologies for telecoms. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-B series.**

The latest authorized share capital of Applicant Company is Rs.1,10,00,000/- divided into 11,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,02,59,190/- divided into 10,25,919 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –C.**

It is further stated that, the Board of Directors of the Applicant Company has approved and adopted a Scheme of Arrangement at its meetings held on 5th March, 2018 by virtue of which Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Applicant Company/Transferor Company No.2) to be merged with Quadgen Wireless Solutions Private Limited (Transferee Company) subject to confirmation. A copy of the Board Resolution of the Applicant Company dated 5th March, 2018 approving and adopting the scheme of Arrangement is shown as **Annexure-E.**

It is further averred in the scheme that the arrangement of both the Transferor Companies with Transferee Company would inter alia have the following benefits:

1. To Achieve greater integration, financial strength and flexibility leading to stronger negotiation power in the market. Leverage consolidated asset base, revenues and market share of the combined entity to build a stronger and sustainable platform for further growth and expansion of the combined entity.

2. To Achieve greater efficiency in the cash management of the combined entity, and unfettered access to cash flow generated by the combined entity for the group.

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company has certified the number of shareholders of the Applicant Company as on 22nd January, 2018.There are three shareholders. Certificate issued by the Chartered Accountant shown as **Annexure-F.**

It is further stated that there are no Secured Creditors in the Applicant Company as on 22nd January, 2018 as certified by the Chartered Accountant shown as **Annexure-H.**

It is further stated that there is only one Unsecured Creditors in the Applicant Company as on 22nd January, 2018 as certified by the Chartered Accountant shown as **Annexure-J.**

We have seen the consent affidavits filed by the two Equity shareholders of Applicant Company /Transferor Company no.2 i.e., (i) Chunduru Sambasiva Rao, holding 5,000 equity shares, constituting 0.48% of the paid-up capital,(ii) Srikalahasti Mallikarjunarao Vagvala holding 5000 equity shares, constituting 0.48% of the paid-up capital,(iii) Quadgen Wireless Solutions Inc USA holding 10,15,919 equity shares, constituting 99.9% of the paid-up capital.

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company is Rs.3,40,35,598/- and 100% of the unsecured creditors representing value of Rs. 3,40,35,598/- have given their consent to the Scheme by way of affidavits. We have seen the consent affidavits given by the Unsecured Creditors shown as **Annexure-K.**

The Applicant Company is seeking an order to dispense with convening of meetings of Shareholders and Creditors of the Applicant Company on the ground that, there are three shareholders and one Unsecured Creditor. Three Shareholders and 100% of value of

Unsecured Creditors have given their consent by way of affidavits for the proposed scheme of arrangement.

We have heard the Counsel appearing for the Application is filed by the Applicant Company which is a Transferor Company No.2 for dispensing with the convening of meeting of Shareholders and Creditors of the Applicant Company for approving the Scheme of Arrangement of Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Applicant Company/Transferor Company No.2) with Quadgen Wireless Solutions Private Limited (Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A.**

In the result, the application is allowed and holding of meeting of the Equity Shareholders and Creditors is dispensed with. In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who are interested in the Scheme of Arrangement to put forth their contentions before the Tribunal.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

975
to
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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 24.04.2018.

PRESENT: 1. Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra,**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CA(CAA)No.14/BB /2018	For consideration	230-232	M/s Quadgen Wireless Engineering Services Pvt Ltd	Uday Shankar Associates		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
1.	Uday Shankar Uday Shankar Advocate	petitioner	

ORDER

C.A is disposed off vide separate order.

Member (T) **Member (J)**